The Whole Financial Picture: What It Covers When a Parent Is Paying for Care

A short guide to the parts of the picture: income, assets, ownership, care costs and records.

When the first care bill arrives, most families reach for the one number they know: the balance in Mom's checking account. It's a true number. It doesn't say whose name is on the account, what else there is, or what her care costs each month.

This guide explains what goes into a whole financial picture, part by part, so you know what to gather and what to ask. It explains. It doesn't add anything up, and it doesn't say what any of it means for Medicaid.

Why the whole picture, in one place

Medicare.gov says Medicare generally doesn't cover long-term care in a nursing home, and that most people who enter nursing homes start by paying for their care out of pocket. So the first thing anyone helping your family will want to know is what there is to pay with, and what the care costs. [1]

The Consumer Financial Protection Bureau's guide for people managing a relative's money says the same thing from the family's side: to make careful decisions, you need to know what the person owns and owes. The Bureau also suggests keeping important documents organized in a safe place that is easy to get to. [2] [3]

- One list and one folder are enough to start. A binder with a labeled section for each kind of paper is one way AARP suggests doing it (source 9 below).
- Where you don't know, write “not found yet.” A blank is useful information.

What comes in, and what she owns

Income is whatever arrives regularly. The federal long-term care site's list includes Social Security payments, veterans benefits, pensions, wages, interest from bank accounts and certificates of deposit, and dividends from stocks and bonds. [4]

What she owns covers more than the bank. The Bureau's list includes checking and savings accounts, cash, real estate, cars and other vehicles, insurance policies, stocks and bonds and items of value, and it sets what she owes beside them: unpaid credit card bills and other loans. [2]

Insurance belongs on the list too. If Mom has long-term care insurance, Medicare.gov's advice is to check the policy or call the insurance company to find out if the care she needs is covered, and it notes that these policies vary widely. [1]

- For each item, the useful note is what it is, which company or agency it's with, and where the paper is.
- Write an amount only as a statement or letter shows it, with the date. Don't total anything.

Whose name is on it

Two accounts with the same balance can belong to different people. That's why a full picture records ownership beside every item: Mom alone, Mom and someone else, or a spouse.

The names matter because the kinds of account differ. The Consumer Financial Protection Bureau explains that a joint account, where the money is jointly owned, is not the same as a convenience account, which does not change who owns the money in it. A home is similar: the federal long-term care site notes that a person's equity interest in a home depends on whether she owns it by herself or with someone else. [5] [4]

If Mom is married, her spouse's income and accounts belong in the picture as well. The federal Medicaid provisions written for married couples speak of “the couple's combined resources.” And where an account or policy has a named beneficiary, AARP suggests listing those accounts and checking what each institution has on record. [7] [6]

How ownership is treated depends on the state and the situation, and this guide doesn't say. That answer comes from your Medicaid planner or an elder law attorney. Until you have it, the Bureau's guide is plain: if a parent already has money or property in a joint account with you or someone else, get legal advice before making any change. [2]

- For each account, policy and property, copy the names exactly as the statement, policy or deed prints them.
- If a statement doesn't say what kind of account it is, ask the bank.

What care costs, and the paper behind it all

The other half of the picture is what goes out. The federal long-term care site says the cost of long-term care depends on the type and duration of care, the provider and where you live. Facilities may charge extra for services beyond the basic room, food and housekeeping, and home care is provided in blocks of time called visits, which are generally more expensive in the evening, on weekends and on holidays. So the number to write down is the one on Mom's own bill, line by line. [8]

Then there is the paper itself. AARP's list of what to find and keep in one place includes bank records and statements, tax returns, titles and deeds, and insurance policies, and it suggests adding new statements as they arrive. The federal site notes that during a Medicaid application a person is asked for documentation of what assets she has, which is one reason to keep the paper together. [9] [4]

Setting the two halves side by side, what there is against what care costs, is the next piece of work. It isn't done on this page, because what it shows depends on things a professional has to look at.

- Keep a running note of each care bill paid: the date, the amount, and which account it came from (source 6 below).
- Which records are needed, and how far back, varies. Ask your Medicaid planner before you go hunting.

What this means for your family

- “What does Mom have?” becomes a list with five parts: what comes in, what she owns, whose name is on each, what care costs, and where the paper is.
- Your job is to gather and label, with dates and where each number came from. It isn't to total, estimate or decide.
- The rules that apply to the list vary by state and change. What it means for Mom is a question for your Medicaid planner, who can look at her situation.
- Questions the paper can't answer go to the bank or the insurance company, the facility's business office, your Medicaid planner or an elder law attorney.

What this guide doesn't do

It doesn't total anything, estimate how long Mom's money may last, say how any account or property is treated, or suggest doing anything with either. It isn't legal, financial or tax advice. The general statements come from the sources below. The advice about what to write down is ours.

Ready for the next step?

You know what belongs in the picture and why each part is there. The planning interview asks about your family's situation one question at a time and gives you a free planning report you can bring to any conversation about paying for care.

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WHERE THIS COMES FROM

1. Medicare.gov (Centers for Medicare & Medicaid Services), How can I pay for nursing home care?
2. Consumer Financial Protection Bureau, Managing someone else's money: Help for agents under a power of attorney
3. Consumer Financial Protection Bureau, Planning for diminished capacity and illness
4. Administration for Community Living (LongTermCare.gov), Medicaid Eligibility
5. Consumer Financial Protection Bureau, Considering a financial caregiver? Know your options
6. AARP, Legal Checklist for Caregivers With Aging Parents
7. Medicaid.gov (Centers for Medicare & Medicaid Services), Spousal Impoverishment
8. Administration for Community Living (LongTermCare.gov), Costs of Care
9. AARP, 5 Steps to Organize Your Loved One's Financial Records